

Japan Economic Flash: BOJ June MPM Review: We Expect a Rate Hike in June, Followed by Roughly Semi-annual Hikes

- The Japanese economy has remained robust without significant deterioration even amid heightened Middle East tensions. On the price front, business-to-business (B2B) prices are accelerating, and we expect upward pressure on consumer prices to increase going forward.
- Following the more hawkish tone of Governor Ueda's speech (June 3), we changed our expectation from a July rate hike to a June rate hike. We also expect the forward guidance on monetary policy to be slightly modified in conjunction with the June rate hike to maintain a hawkish stance while hinting that it is approaching the neutral rate.
- After the June hike, we expect the next rate hike in January 2027. We also maintain our view that the terminal rate will be 1.5%, equal to the neutral rate, and that the policy rate will reach 1.5% in July 2027. However, the timing of rate hikes is likely to be significantly influenced by market developments and the degree of progress in communication with the government.
- Meanwhile, regarding the reduction in JGB purchases to be discussed at the June meeting, we think it likely that the BOJ will maintain its current JGB purchase plan until March 2027 and keep purchases at c.¥2 tn from April 2027 onward.

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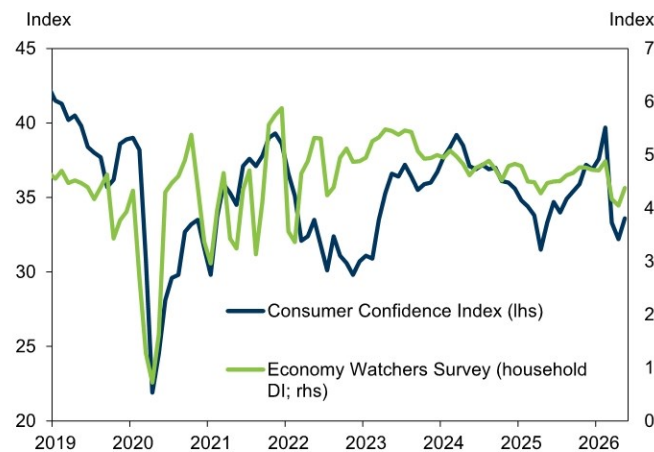
BOJ June MPM Review: June Rate Hike, Followed by Roughly Semi-annual Hikes

The Japanese economy has remained robust without significant deterioration even amid heightened Middle East tensions. On the price front, B2B prices are accelerating, and we expect upward pressure on consumer prices to increase going forward.

Indicators released since the April Monetary Policy Meeting (MPM) show that while soft data such as consumer confidence has deteriorated, hard data remains solid, and the Japanese economy has maintained its robustness without significant deterioration despite rising crude oil prices and heightened Middle East tensions ([Exhibit 1](#), [Exhibit 2](#)).

Exhibit 1: Confidence is Deteriorating...

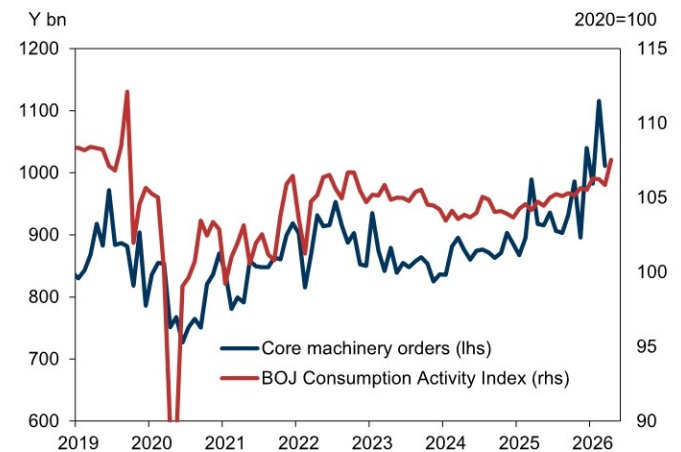
Consumer Confidence and Economy Watchers Survey DI (Household Activity-Related)



Source: Cabinet Office

Exhibit 2: ...But Hard Data Remains Solid

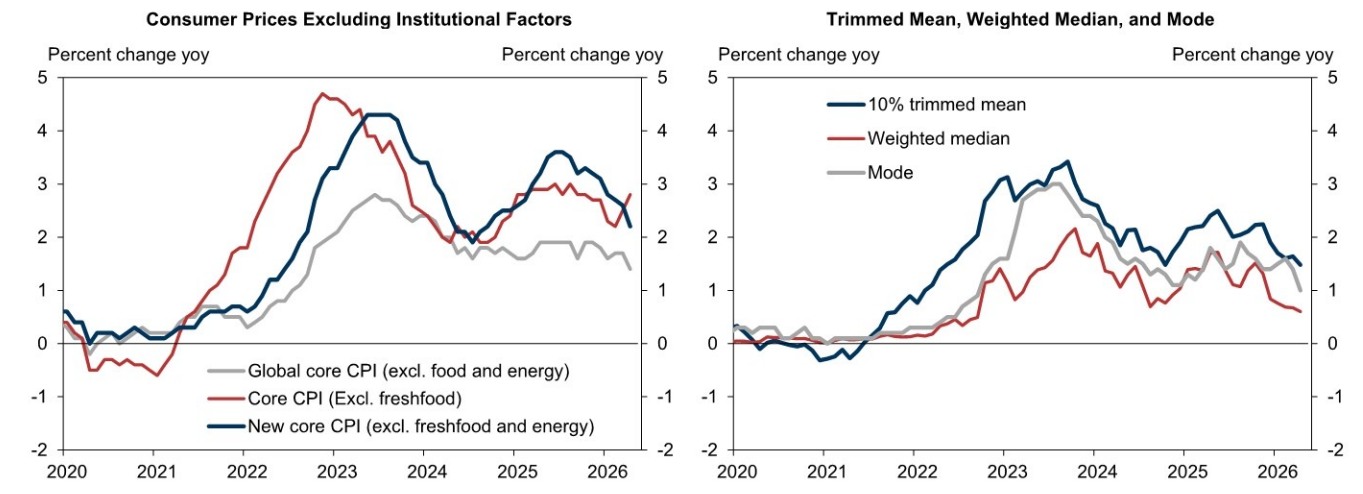
Machinery Orders (Private Sector Excluding Volatile Orders) and BOJ Consumption Activity Index



Source: Cabinet Office, BoJ

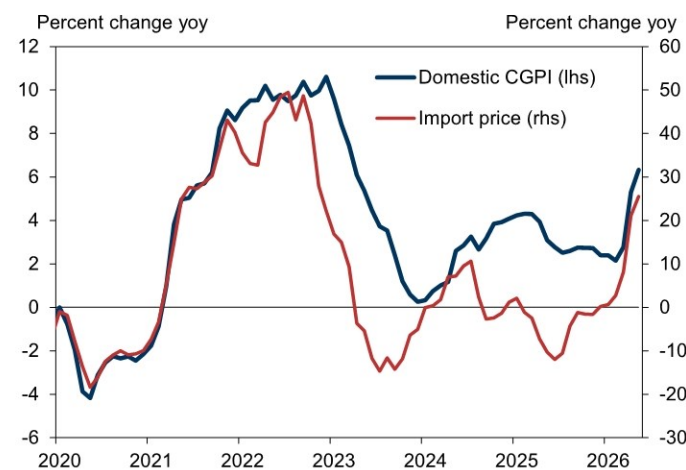
On the price front, the April price revision period lacked broad-based price hikes, particularly for food items. Under these circumstances, even on a basis excluding the effects of government measures published by the BOJ, while core CPI growth has increased somewhat, growth in other indicators has slowed. However, corporate prices are rising significantly, mainly for petroleum products, and we expect this to spill over to downstream B-to-C transactions with a lag, gradually increasing inflationary pressure ([Exhibit 3](#), [Exhibit 4](#)).

Exhibit 3: Even on a Basis Excluding the Effects of Government Measures, Growth in Many Price Indicators Has Slowed Recently, but...



Source: BoJ

Exhibit 4: ...The Surge in B2B Prices is Expected to Increase Upward Pressure on Consumer Prices Going Forward



Source: BoJ

Following the more hawkish tone of Governor Ueda's speech (June 3), we changed our expectation from a July rate hike to a June rate hike.

We take into consideration not only economic and price conditions but also the political factor of laying the groundwork for a rate hike between the government and the BOJ as important for the timing of rate hikes. Since we had seen no signs of progress in laying such groundwork, we had previously expected a July rate hike to be more likely.

However, we revisited our assumption in the wake of the meeting between BOJ Governor Ueda and Prime Minister Takaichi on May 22, and Governor Ueda's speech on June 3. While that speech provided no clear hints about the timing of the next rate hike, we take the view that if the BOJ were not planning to raise the policy rate in June, Governor Ueda would have sent a message to temper market expectations for a June hike that had been priced in by the market, in order to minimize the market reaction. The speech appeared, if anything, more hawkish in tone. We believe this suggests that during

his meeting with Prime Minister Takaichi two weeks ago, Governor Ueda laid the groundwork for the next rate hike—meaning he may have gained the sense that even if the government did not support the next rate hike, it would at least not oppose it—and subsequently hinted at the possibility of a June rate hike in his speech. For this reason, following Governor Ueda’s speech, we changed our view to a June rate hike.

We expect the BOJ to slightly modify its forward guidance to maintain a hawkish stance while hinting that it is approaching the neutral rate.

We expect the BOJ to slightly revise its forward guidance on monetary policy alongside the June rate hike. Specifically, as shown in [Exhibit 5](#), we expect it to be modified to maintain a hawkish stance while hinting that it is approaching the neutral rate.

Exhibit 5: We Expect the BOJ to Modify its Forward Guidance to Maintain a Hawkish Stance While Hinting That It is Approaching the Neutral Rate

Current Forward Guidance	Forward Guidance Post June MPM
Given that real interest rates are at significantly low levels, the Bank will continue to raise the policy interest rate and adjust the degree of monetary accommodation, in response to developments in economic activity and prices as well as financial conditions. In this regard, it will consider the timing and pace of adjustment, while closely monitoring the impact of the future course of the situation in the Middle East on Japan's economic activity and prices and examining the likelihood of realizing the baseline scenario of the outlook for economic activity and prices and the risks to the outlook.	Given that real interest rates remain at low levels , the Bank will continue to raise the policy interest rate and adjust the degree of monetary accommodation, in response to developments in economic activity and prices as well as financial conditions. In this regard, it will consider the timing and pace of adjustment, while closely monitoring the impact of the future course of the situation in the Middle East on Japan's economic activity and prices and examining the likelihood of realizing the baseline scenario of the outlook for economic activity and prices and the risks to the outlook, especially upside risks to prices.

Red text indicates our expected revisions to the forward guidance.

Source: BoJ, Goldman Sachs Global Investment Research

After the June hike, we expect the next rate hike in January 2027. We also maintain our view that the terminal rate will be 1.5%, equal to the neutral rate, and that the policy rate will reach 1.5% in July 2027. However, the timing of rate hikes is likely to be significantly influenced by market developments and the degree of progress in communication with the government.

Regarding the rate hike path from June onward, considering that the BOJ is not behind the curve (with underlying inflation still below 2%) and that the future pace of growth will be gradual, we believe the BOJ will conduct gradual but steady rate hikes at intervals of around six months. After the June hike, we accordingly expect rate hikes in December or January next year, followed by June or July, with the policy rate reaching 1.5%, equal to the neutral rate.

Given that the policy rate has been raised to 1% and is approaching the neutral rate, the current assessment and outlook for the economy and prices, as well as risk assessments, are likely to become more important in decisions to raise interest rates. Because of this, the actual timing of rate hikes is more likely to be at meetings where the Outlook Report is published (January, April, July, and October), when analysis on these issues has been accumulated within the BOJ and assessments have solidified, rather than at meetings where the Outlook Report is not published (March, June, September, and December).

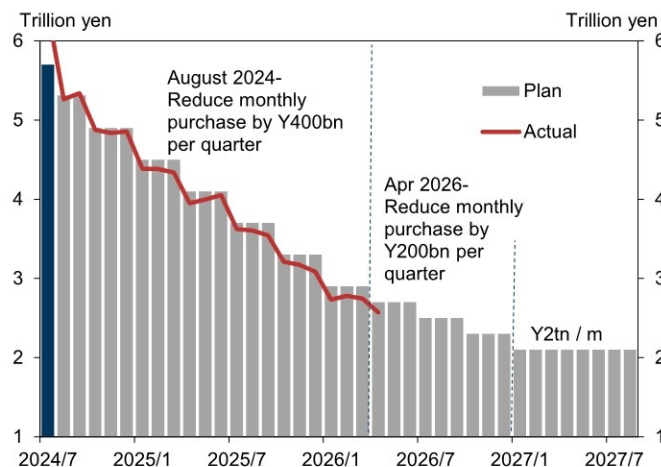
After the June hike, we therefore expect the next rate hike in January 2027, followed by July, with the policy rate reaching the terminal rate of 1.5%.

However, the timing of rate hikes could be significantly influenced by market developments and the degree of progress in communication with the government. On this point, prior to the December meeting last year and the June meeting this year (which saw yen depreciation and a rise in long-term interest rates), a meeting was held between Governor Ueda and Prime Minister Takaichi, and once the groundwork for a rate hike was laid, a speech by the Governor or Deputy Governor hinted at the possibility of a rate hike at the upcoming meeting. For this reason, while our base case scenario for rate hikes after June is January and July 2027, the timing of rate hikes could be brought forward depending on when the conditions for a rate hike are in place from the perspective of communication with the government.

Regarding the reduction in JGB purchases, it is likely that the BOJ will maintain its current JGB purchase plan until March 2027 and keep purchases at c.¥2 tn from April 2027 onward.

At the June meeting, the BOJ will also conduct an interim assessment of its current JGB purchase plan up to March 2027 and consider its JGB purchase policy for April 2027 onward. As we discussed in a separate report, we believe it is likely that the BOJ will maintain its current JGB purchase plan until March 2027 and keep purchases at c.¥2 tn from April 2027 onward ([Exhibit 6](#)).

Exhibit 6: BOJ is Expected to Gradually Reduce Monthly JGB Purchases Until March 2027 and Maintain Purchases Volume from April 2027 Onward
BOJ's Monthly JGB Purchase Reduction Schedule



Source: BoJ, Data compiled by Goldman Sachs Global Investment Research

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